

2 See the commentary on Chapter 11.

3 There are also many newsletters dedicated to analyzing professional portfolios, but most of them are a waste of time and money for even the most enterprising investor. A shining exception for people who can spare the cash is *Outstanding Investor Digest* (www.oid.com).

1 As a brief example of how convertible bonds work in practice, consider the 4.75% convertible subordinated notes issued by DoubleClick Inc. in 1999. They pay \$47.50 in interest per year and are each convertible into 24.24 shares of the company's common stock, a "conversion ratio" of 24.24. As of year-end 2002, DoubleClick's stock was priced at \$5.66 a share, giving each bond a "conversion value" of \$137.20 (\$5.66 24.24). Yet the bonds traded roughly six times higher, at \$881.30—creating a "conversion premium," or excess over their conversion value, of 542%. If you bought at that price, your "break-even time," or "payback period," was very long. (You paid roughly \$750 more than the conversion value of the bond, so it will take nearly 16 years of \$47.50 interest payments for you to "earn back" that conversion premium.) Since each DoubleClick bond is convertible to just over 24 common shares, the stock will have to rise from \$5.66 to more than \$36 if conversion is to become a practical option before the bonds mature in 2006. Such a stock return is not impossible, but it borders on the miraculous. The cash yield on this particular bond scarcely seems adequate, given the low probability of conversion.

2 Like many of the track records commonly cited on Wall Street, this one is hypothetical. It indicates the return you would have earned in an imaginary index fund that owned all major convertibles. It does not include any management fees or trading costs (which are substantial for convertible securities). In the real world, your returns would have been roughly two percentage points lower.

3 However, most convertible bonds remain junior to other long-term debt and bank loans—so, in a bankruptcy, convertible holders do not have prior claim to the company's assets. And, while they are not nearly as dicey as high-yield "junk" bonds, many converts are still issued by companies with less than sterling credit ratings. Finally, a large portion of the convertible market is held by hedge funds, whose rapid-fire trading can increase the volatility of prices.

4 For more detail, see www.fidelity.com, www.vanguard.com, and www.morningstar.com. The intelligent investor will *never* buy a convertible bond fund with annual operating expenses exceeding 1.0%.

* How "shocked" was the financial world by the Penn Central's bankruptcy, which was filed over the weekend of June 20–21, 1970? The closing trade in Penn Central's stock on Friday, June 19, was \$11.25 per share—hardly a going-out-of-business price. In more recent times,